

What do you think?

This is one of those questions that can be answered unambiguously. Gold is the only commodity where the amount of supply is literally about 100 times as much as the amount physically used in any year. That is not true of any other commodity, such as wheat or copper, where total supply and annual consumption are much closer in balance, and true shortages can develop. There is never any shortage of gold. So gold's value is entirely dependent on psychology or those fundamentals that drive psychology. Many years ago, when I was a commodity research director, I would totally ignore gold production and consumption in analyzing the market. I would base any price expectation entirely on such factors as inflation and the value of the dollar because those are the factors that drive psychology. I always found it ridiculous when other analysts would write lengthy reports on gold analyzing such things as annual production prospects and jewelry usage. Annual production and consumption of gold are always a tiny fraction of supply, maybe around 1 percent, so who cares how much they change. It has nothing to do with the price.

Yes, that's exactly right.

It's one thing to say that a market in a bubble can go to any price, but quite another to determine when the bubble is over. You said just before that you know it's over when the price starts going down. But how do you differentiate between a correction and a reversal in the market?

That is a good question and quite a difficult one. There are several possible methods. The simplest method is to pretend you are a CTA.⁴ A CTA will have a systematic way of defining when a trend has changed. Another way you can tell is if the market displays price action that is characteristic of the late stages of a bubble, such as an exponential price rise, similar to what we recently saw in silver [in May 2011].

Did you trade that market?

Yes, through options. The problem with markets like silver is that when they break, they can collapse rapidly, and there is gap risk. I think the natural way to trade a market that is in a bubble is from the long side, not